

Protecting capital against market meltdowns

An ex-ante tail risk service that flags high-risk windows **before** a drawdown, not after, so they can act in an orderly way instead of reacting under pressure.

THE PROBLEM

Upside participation remains attractive, but valuations are stretched, leadership is concentrated in a handful of mega-caps, and geopolitical shocks arrive with little warning. Most risk tools are reactive: they confirm the damage after it has happened. And losses compound:

a **−20% drawdown** needs **+25%** to recover; a **−50% drawdown** needs **+100%**.

THE SOLUTION

Each year MMB publishes, in advance, a calendar of **12 candidate turning-point dates** grouped into two or three high-risk windows. The calendar is set at the end of the prior year and **not revised** (± 1 day). Four proprietary indicators (built on behavioural greed–fear cycles and machine learning) cross-check each window; conviction is highest where they agree.

- Hedge overlay via liquid futures and options, **up to three times a year**; sizing and execution are the PM’s decision
- No liquidation of core long-term holdings (unless specifically preferred by the PM)

THE EVIDENCE

Live forecasts: the 2026 calendar was published at the end of 2025.

2026 window	Dates	What happened	Outcome
Q1 ·Period 3	26 Feb – 25 Mar	Tariff-driven correction: S&P 500 c. −10%, DAX −13.6%	Captured
Q2 ·Period 2	18 Jun – 19 Jul	Modest dip in the S&P 500 (−3.2%); sharper falls in the Nasdaq 100 (c. −10%) and KOSPI (c. −30%)	Timing right; size varied by market
Q4 ·Period 1	24 Oct – 30 Nov	Flagged by the Dial, RF Oscillator and heatmap; November viewed as particularly severe	Highest conviction: ahead

Back-tests: flagged the 2020 COVID crash window and the 2025 tariff correction (S&P 500 −21%). In 2022 the model caught the Q1 and September declines but **missed the April–June fall**; that limit is disclosed and has not been fitted away.

WHO IS BEHIND IT

Marco Bianchi, PhD · Founder, MMB Advisers Ltd

- 30+ years in quantitative research and risk management; PhD in Statistics & Econometrics, London School of Economics (European Doctoral Programme)
- Former Bank of England, Barclays Capital (Director) and Citi (VP); co-manager of a \$250M long/short European equity fund at Thames River Capital
- Eurohedge Award winner (2003) and runner-up (2006) for systematic strategies: **20% return / 0.50% max drawdown** (Newman & Ragazzi, 2003); **18.82% / 2.04%** (Thames River, 2006)
- Published in the *American Economic Review*, *Journal of Applied Econometrics* and *Journal of Business & Economic Statistics*

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NEXT STEP

Request a confidential briefing, including the current Q4 2026 outlook.

Full methodology and track record

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